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Daycare Licensing Compliance Checklist

Practical checklist for directors: staff-to-child ratios, licensing docs, subsidy billing, inspection prep, record retention, and common violations.

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- ☐ Confirm attendance dates match room records.
- ☐ Mark ratio notes that support licensing review.
- ☐ Attach subsidy claim evidence before filing.
- ☐ Keep guardian and pickup updates with the child record.

Staff-to-Child Ratio Requirements by Age Group

Ratio violations are the most common citation in state licensing inspections. They are also the most dangerous from a liability standpoint. Getting this wrong is not just a fine; it can trigger a license suspension.

Every state sets its own ratio requirements, and they vary by age group. Here are the general ranges you will see across most states (always check your specific state's rules, as they differ):

- **Infants (0-12 months):** 1 staff to 3-4 children. This is the strictest ratio and the one most commonly violated during staff breaks and shift changes.
- **Young toddlers (12-24 months):** 1 staff to 4-6 children. Some states distinguish between young and older toddlers; others group them.
- **Older toddlers (24-36 months):** 1 staff to 4-6 children. The range depends on whether your state uses a two-tier or three-tier toddler classification.
- **Preschool (3-4 years):** 1 staff to 8-12 children. This is where ratios loosen up, but group size maximums often apply in addition to ratios.
- **Pre-K/School age (5+ years):** 1 staff to 10-15 children. Before- and after-school programs sometimes have different ratio requirements than full-day programs.

What most directors get wrong about ratios:

- **Ratios apply at all times, not just during “instructional” hours.** Nap time, outdoor play, transitions between rooms, lunch, arrival, and dismissal all require proper ratios. Inspectors know this and often arrive during transitions specifically to catch violations.
- **The director counts toward ratio only if actively supervising.** If you are in your office doing paperwork, you are not in ratio. If you are on the phone with a parent, you are not in ratio. You only count if you are physically present and directly supervising children.
- **Mixed-age groups default to the youngest child’s ratio.** If you have a room with 2-year-olds and 3-year-olds together, the entire room operates under the toddler ratio, not the preschool ratio. This catches directors who combine age groups during low-enrollment hours.
- **Staff on break are not in ratio.** If you have three staff in a preschool room and one goes on a 15-minute break, your ratio just changed. You need a plan for coverage during every break.

Build a daily ratio tracking sheet that logs the staff-to-child count in each room at least four times per day: morning arrival, midday, after nap, and afternoon pickup. If an inspector asks for your ratio documentation and you have nothing, that is a finding even if your ratios were technically correct.

Software that tracks attendance in real time and flags ratio breaches as they happen is the single most effective tool for preventing ratio violations. Manual tracking on paper works, but it depends on staff remembering to update it, and they forget during busy moments, which is exactly when violations happen.

State Licensing Documentation

Every licensed childcare program must maintain a set of documents that your state licensing agency can request at any time. Missing documentation is a common violation because it is easy to let things expire or misfile.

Here is the core documentation every program should have organized and current:

Staff files (one per employee):

- Background check clearance (state criminal, FBI fingerprint, sex offender registry, and child abuse registry). These must be completed before the employee has unsupervised access to children. In most states, they need renewal every 3-5 years.
- Health assessment or TB test results, usually required within 30 days of hire and renewed every 2-4 years depending on the state.
- CPR and First Aid certification. At least one CPR/First Aid certified staff member must be present at all times. Most states require all lead teachers to hold current certification.
- Professional development hours. Most states require 15-30 hours of annual training per staff member. Track the topic, date, trainer, and hours for each training.
- Emergency contact information and signed employment agreements.
- Medication administration training (if staff administer medications to children).

Child files (one per enrolled child):

- Signed enrollment agreement with parent/guardian contact information, authorized pickup persons, and custody documentation if applicable.
- Immunization records showing current vaccinations per your state's schedule. Track expiration dates for boosters.
- Allergy and medical condition documentation, including an action plan for each allergy (what to do, what medication to administer, emergency contacts).
- Emergency authorization form allowing you to seek medical treatment if a parent cannot be reached.
- Signed transportation permission (if you provide transportation).
- Subsidy authorization letter (if the family receives childcare assistance).

Facility documents:

- Current state childcare license, posted in a visible location.
- Fire inspection certificate (usually annual).
- Health/sanitation inspection certificate.
- Liability insurance policy showing current coverage.
- Emergency preparedness plan (fire, severe weather, lockdown, medical emergency).
- Menu plans if you provide meals (must meet USDA/CACFP requirements if participating in the food program).
- Incident/accident report log.

Set calendar reminders for every document that expires. Background checks, CPR certifications, fire inspections, and insurance policies all have expiration dates. If an inspector arrives on the day after your fire inspection expired, it does not matter that you scheduled the renewal for next week. It is a violation today.

Subsidy Billing Requirements

If your program accepts state childcare subsidy payments (CCDF, state vouchers, DHS child care assistance), billing compliance is a separate and equally important area. Subsidy fraud, even accidental, can result in repayment demands, program exclusion, and criminal referrals.

Key requirements for subsidy billing:

- **Attendance records must match billing claims exactly.** If you bill the state for a full week of care and the child was absent on Friday, that is an overbilling. States audit attendance records against payment claims, and discrepancies trigger investigations.
- **Sign-in/sign-out records must include times.** Many states require exact arrival and departure times, not just a daily checkmark. Some states require parent signatures (physical or electronic) at sign-in and sign-out. If your system only tracks daily attendance without times, you may not meet requirements.
- **Authorization periods matter.** Each subsidized child has an authorization period (start date and end date). You can only bill for days within that period. If a child's authorization expires on March 31 and you bill for April 1, that is a billing error even if the child attended.
- **Absence policies vary by state.** Most states allow billing for a limited number of absences per month (typically 3-5 days). Beyond that limit, you cannot bill for absent days. Track absence counts carefully.
- **Rate agreements.** Your subsidy rate is set by your state or county. You must bill at the authorized rate, not your private-pay rate (unless your private-pay rate is lower). Some states allow you to charge parents the difference between the subsidy rate and your private rate; others prohibit this. Know your state's rules.
- **Co-payments.** When a family has a co-pay, you must collect it from the parent and cannot bill the state for the co-pay amount. If you waive co-pays without documentation, the state may view it as fraud.

Keep your subsidy billing documentation separate from your private-pay billing. When a state audit happens (and they happen regularly for subsidy providers), auditors want to pull your attendance records for subsidized children and match them against your payment claims for a specific period. If your records are organized, the audit goes quickly. If your records are a mess, the audit expands.

The most common subsidy billing mistakes are: billing for children after their authorization expired, billing for full-day care when the child only attended half-day, and failing to track absence days against the state's allowable limit.

Inspection Preparation Checklist

State licensing inspections can be announced or unannounced depending on your state. Treat every day as if an inspector could walk in. Here is what they check:

Physical environment (walk-through):

- All exits clear and accessible. No furniture, toys, or supplies blocking exit paths.
- Smoke detectors and fire extinguishers present, mounted, and showing current inspection tags.
- Cleaning chemicals, medications, and sharp objects stored in locked cabinets out of children's reach.
- Outdoor play area fenced, free of hazards (broken equipment, standing water, poisonous plants), and directly supervised by staff during use.
- Kitchen/food prep area clean. Food stored properly (labeled, dated, at correct temperatures). If you participate in CACFP, posted menus match what is actually served.
- Bathrooms accessible to children, clean, stocked with soap and paper towels, and child-sized or step stools available.
- Cribs and sleep equipment meet current safety standards (no bumpers, no blankets for infants under 12 months, firm mattresses).
- Posted emergency numbers, evacuation routes, and your state license in visible locations.

Staff and ratio checks:

- Inspector will count children in each room and verify the number of qualified staff present.
- Inspector will ask staff about their qualifications and may request to see individual staff files.
- Inspector will verify that at least one person with current CPR/First Aid certification is present.

Record review:

- Inspector may pull random child files to check for complete enrollment paperwork, current immunization records, and allergy documentation.
- Inspector may pull random staff files to check background check clearances and training hours.
- Inspector will review your incident/accident log for the past 6-12 months.
- If you are a subsidy provider, inspector may review attendance records and billing documentation.

Common triggers for unannounced inspections:

- Parent complaints.
- Reported incidents (injuries, allegations of abuse or neglect).
- Previous violations requiring a follow-up visit.
- Routine random selection (varies by state).

After every inspection, whether you passed or received citations, do a debriefing with your staff. Review what the inspector found, update any procedures that need fixing, and document the corrective actions you took. If you received citations, complete corrective action before the deadline. Late corrective action can escalate a minor violation into a license action.

Record Retention Requirements

Knowing what to keep and for how long prevents you from destroying records you might need during an audit or legal matter.

Standard retention periods for childcare programs (check your state for specific requirements, as some states require longer):

- **Child enrollment records:** Keep for at least 3 years after the child leaves your program. Some states require 5 years. If you accept subsidies, the state may require longer retention for subsidized children's records.
- **Attendance records:** Keep for at least 3-5 years. Subsidy providers should keep attendance records for at least 5 years because state auditors can look back that far.
- **Staff employment records:** Keep for at least 3 years after the employee leaves. Background check documentation should be kept for the duration of employment plus 3 years.
- **Incident/accident reports:** Keep for at least 5 years, or until the injured child turns 21 (whichever is longer). Injury claims can surface years after the incident.
- **Financial records (tuition payments, subsidy payments, expenses):** Keep for at least 7 years for tax purposes.
- **Inspection reports and corrective action plans:** Keep permanently. These show your compliance history and are useful if a future inspection references past violations.
- **Training records:** Keep for at least 3 years after the training occurred, or for the duration of the staff member's employment plus 1 year.

Organize your records in a way that lets you retrieve any specific record within minutes. Inspectors and auditors do not have patience for “let me look for that.” Filing by child name (alphabetical) and by employee name (alphabetical), with a separate section for facility documents, is the simplest approach.

If you use paper records, store them in a locked file cabinet. If you use digital records, back them up regularly and ensure only authorized staff have access. Under no circumstances should child records (which contain addresses, medical information, and custody details) be accessible to anyone outside your administrative staff.

Common Violations and How to Avoid Them

Knowing the most frequent citations helps you focus your compliance efforts where they matter most. These are the violations that show up repeatedly in state inspection databases across the country:

Ratio violations (most common). Almost always caused by inadequate break coverage or unexpected staff absences. Fix: build a substitute list with at least three reliable subs who have current background checks and can arrive within 30 minutes. Never let a staff member leave for break until their replacement is physically in the room.

Expired background checks. Background checks expire and staff forget to renew them. Fix: track every expiration date in a single spreadsheet or software system, and set reminders 90 days before expiration. Start the renewal process at the 90-day mark because processing times vary.

Incomplete child files. Missing immunization records, expired emergency contacts, unsigned forms. Fix: audit every child file at the start of each month. Send parents a list of missing or expiring documents with a deadline.

Medication storage and administration errors. Medications not locked up, expired medications on site, or medication administered without proper authorization forms. Fix: designate one staff member per shift as medication administrator. Check medication storage weekly and dispose of expired medications immediately.

Supervision gaps. Children left unsupervised, even briefly. This includes children in a bathroom alone (depends on age and state rules), children on the playground while staff talk to

each other instead of watching, or children in a room during transitions when staff assume someone else is watching. Fix: never assume. Assign specific staff to specific groups of children during every transition.

Outdoor play area hazards. Broken equipment left in use, gaps in fencing, tripping hazards. Fix: do a daily outdoor area walkthrough before children go outside. Document the check on a dated log.

Fire drill documentation. Most states require monthly fire drills and some require additional severe weather drills. The drill itself takes five minutes; the documentation takes two. But many programs skip the documentation, and a drill without a documented date, time, number of children, staff present, and evacuation time does not count. Fix: create a drill log template and fill it out immediately after every drill.

Health and sanitation. Diaper changing procedures not followed (hand washing, sanitizing the changing surface between children), food handling violations, and inadequate cleaning schedules. Fix: post step-by-step procedure charts at every diaper station and food prep area. Inspect them during your daily walkthrough.

The pattern across all of these violations is the same: they happen during busy moments when staff are stretched thin and documentation falls behind. A compliance system that tracks ratios, documents drills, flags expiring records, and logs attendance in real time eliminates most of these risks. Paper-based tracking works, but only if someone checks it every single day. Software-based tracking works even when your day gets chaotic, because it alerts you before a violation happens instead of after.